PERSONALIZED WEALTH STRATEGY

Jason Erbe | October 2025

Executive Summary

A comprehensive 12 month launch plan for a lean, audit ready Airbnb arbitrage business with business credit scaling to $25k–$50k, maximized tax strategies, and strategic investment allocation across Bitcoin and high growth opportunities. The strategy targets one arbitrage unit by Month 4–6, with a potential second unit in Months 9–12 if performance metrics hold.

🎯 Year One Value (Base, 1 unit)	**$16,250 – $30,200**
🎯 Year One Value (Growth, 2 units)	**$18,350 – $34,200**

Represents estimated cash in pocket through tax savings, reimbursements, and business profits in Year One.

30 Day Launch Checklist

Week 1: Foundation

- Entity Setup: Single member LLC with separate business checking account.
- Digital Infrastructure: Business email on domain with SPF, DKIM, and DMARC configured.
- Accounting: Connect QuickBooks or Zoho and create STR specific chart of accounts.
- Consistency: Select and use one NAICS code everywhere:

• 721199 (All Other Traveler Accommodation)

• 531390 (Other Activities Related to Real Estate)

• 531311 (Residential Property Managers)

Week 2: Documentation and Policies

- Written Policies: Create and sign an Accountable Plan, an Expense Policy with de minimis safe harbor at $2,500 per invoice, and an Augusta Rule calendar with 12 to 14 pre scheduled meetings.
- Tax Planning: Document startup and organizational costs.
- Compliance: Register for required STR and occupancy tax accounts.

Week 3–4: Credit and Systems

- Business Credit Building: Place and pay Tier 1 net 30 orders (Uline, Quill, Grainger). Confirm trade line reporting. Prepare for Tier 2 and 3 applications (Amazon Business, Dell, Amex).
- Operations Platform: Set up Hospitable and PriceLabs.
- Deal Pipeline: Build owner list of 50 to 75 properties with outreach cadence.

Tax Optimization Playbook

1. Entity Structure and Foundation

Single member LLC as a disregarded entity with clean separation between business and personal. Enables strategies while keeping things simple and audit ready.

2. Accountable Plan Reimbursements

Tax free monthly reimbursements from LLC to personal for cell phone (60% business use), internet (60% business use), mileage at IRS standard rate, and home office expenses.

Estimated value: $1,200 – $2,400

3. Home Office Deduction Strategy

Option A: Simplified Method. $5 per square foot up to 300 square feet. Max deduction $1,500. No depreciation recapture on home sale. Minimal documentation.

Option B: Actual Expense Method. Deduct business use percentage of mortgage interest, HOA fees, utilities, homeowners insurance, repairs and maintenance, property tax, and home depreciation.

Example: 1,200 square foot condo with 120 square foot office equals 10% business use. Annual home costs $18,600. Actual method deduction $1,860 before depreciation. With depreciation $2,260 total. Advantage over Simplified $760.

Estimated value: Simplified up to $1,500. Actual $1,800 – $2,500. Recommendation: Calculate both each year and select the higher amount.

4. Augusta Rule Implementation

- Rent your home to the LLC for business meetings up to 14 days tax free.
- Pre schedule 12 to 14 meetings.
- Document each meeting with an agenda and minutes, 2 to 3 FMV comparables, an invoice from homeowner to LLC, and payment from LLC checking.

Charlotte market supports $200 to $275 per day for small meeting space.

Estimated value: $2,400 – $3,850

5. Startup and Organizational Costs

Immediate deductions under Sections 195 and 248 for startup costs and organizational costs. Up to $5,000 each in Year 1. Remainder amortized over 180 months.

Estimated value: $750 – $1,250

6. Tangible Property Optimization

De Minimis Safe Harbor: Expense items at or below $2,500 per invoice immediately. Applies to furniture, smart locks, cameras, linens, kitchen items, decor, and amenities.

Twelve Month Rule: Deduct eligible prepaid expenses such as insurance, software, and service contracts.

Estimated value: $500 – $1,000

7. 100% Bonus Depreciation

First year write off for furnishings and equipment: furniture packages, smart home tech, cleaning equipment, and office equipment. Keep a detailed inventory with photos of ready for guests status.

Estimated value: $3,000 – $6,500

8. Vehicle and Travel Deductions

Local mileage for owner meetings, supply runs, and property visits. Travel costs for market research trips including transport, lodging, and 50% meals. Schedule an Augusta meeting during travel to consolidate documentation.

Estimated value: $600 – $1,200

9. QBI Deduction

Up to a 20% deduction on qualified business income when the LLC shows profit and your income is below phase out thresholds.

Estimated value: $300 – $800

10. Retirement Contributions on LLC Profit

After maximizing any W 2 employer match, consider Solo 401k employer contributions or SEP IRA contributions. Coordinate timing with your CPA.

Estimated value: $400 – $1,200

Airbnb Arbitrage Execution Plan

Market Screening Criteria

- Legal compliance with STR friendly zoning and HOA rules.
- Demand metrics: ADR at 2.0 to 2.5 times market rent.
- Occupancy targets: 60 to 70 percent at target ADR.
- Infrastructure: Adequate parking and optimal bed configuration.
- Supply trends: Stable or growing demand relative to supply.

Unit Economics Framework

- All in monthly costs covered at 50 percent occupancy.
- Stabilized net profit $700 to $1,000 per month after all expenses.
- Furnishing budget: $5,000 to $7,000 for one bedroom, $8,000 to $12,000 for two bedroom.
- Six months of operating runway before signing a lease.

Launch Sequence

- Months 1–2: Entity setup, credit building, and market analysis.
- Months 3–4: First unit launch.
- Months 5–6: Optimization and stabilization.
- Months 7–8: Performance evaluation.
- Months 9–12: Scale to Unit 2 if KPIs are met.

Investment Strategy and Portfolio Allocation

Core Philosophy

Your strategy combines the asymmetric upside of Bitcoin with positions in infrastructure that support AI and Bitcoin. This balances long term wealth preservation with higher risk, higher reward opportunities.

Strategic Allocation Framework

Primary Wealth Engine: Bitcoin (80%)

- Automated weekly or monthly purchases from business and personal surplus.
- Maintain a three month emergency fund before aggressive accumulation.
- **Custody progression:** Under $25k use a reputable exchange. $25k to $100k use a hardware wallet. Over $100k use a 2 of 3 multisig with geographic distribution.

Growth Accelerators: AI and Bitcoin Infrastructure (10–15%)

- **IREN (Iris Energy) 5–7.5%:** Renewable powered data centers at the intersection of Bitcoin mining and AI compute.
- **CIFR (Cipher Mining) 5–7.5%:** Efficient North American mining with scale and renewable focus.

Income Generation: Covered Call ETFs (5–10%, retirement accounts only)

- Conservative option STRC for steadier income.
- Growth options MSTY or IMST with higher yield potential.
- Allocate 5 to 10 percent, DCA over three months, reinvest initially.

Rebalancing Strategy

- Quarterly review and rebalance when any position deviates more than 5 percent.
- Take profits from outperformers and add to underweight positions.
- Keep Bitcoin as the core position regardless of short term volatility.

Year One Value Breakdown

Tax and Documentation Strategies	Estimated Value
Accountable Plan Reimbursements	$1,200 – $2,400
Home Office Deduction	$1,500 – $2,500
Augusta Rule (12 to 14 days)	$2,400 – $3,850
Startup and Organizational Costs	$750 – $1,250
De Minimis and Twelve Month Rule	$500 – $1,000
100% Bonus Depreciation	$3,000 – $6,500
Vehicle and Travel	$600 – $1,200
QBI Deduction	$300 – $800
Retirement Contributions	$400 – $1,200

Tax strategy subtotal: $10,650 – $22,200

Business Cash Flow	Estimated Value
Arbitrage Unit 1 (8 months)	$5,600 – $8,000
Arbitrage Unit 2 (3–4 months, if expanded)	$2,100 – $4,000

Business subtotal: $5,600 – $12,000

🎯 Total Year One Value — Base Case (1 unit) **$16,250 – $30,200**

🎯 Total Year One Value — Growth Case (2 units) **$18,350 – $34,200**

Maximizing Your Returns

- Choose the actual home office method when it exceeds the simplified method, especially with higher home costs and an office near 10 percent of home size.
- Complete 12 to 14 Augusta meetings with strong FMV documentation.
- Place all furnishings in service before year end for maximum bonus depreciation.
- Activate Tier 2 or 3 business credit by Month 3 or 4 to preserve personal credit.
- Schedule a mid December tax planning session to optimize timing.

Key Success Factors

- Meticulous documentation from Day 1.
- Business credit established before major purchases.
- Consistent monthly execution of tax strategies.
- Regular KPI monitoring before expansion.

Action Plan

This Week

- Open a business checking account, set up accounting, and create an email with proper authentication.
- Sign the Accountable Plan, document the Expense Policy, and build the Augusta calendar with the first meeting scheduled.
- Place first Tier 1 orders and document consistent business information.

This Month

- Complete home office analysis, document space with photos, and set up a monthly reimbursement process.
- Complete Tier 1 accounts and apply for Tier 2 once reporting is confirmed.
- Research 50 to 75 properties, create outreach templates, and set up Hospitable and PriceLabs.

Ongoing Monthly

- Process Accountable Plan reimbursements and hold Augusta meetings.
- Track mileage and expenses.
- Review KPIs and adjust.

Quarterly Reviews

- Q1 foundation and first unit launch.
- Q2 optimization and stabilization.
- Q3 evaluate expansion opportunity.
- Q4 tax planning and Year 2 strategy.

December Tax Optimization Checklist

Two Weeks Before Year End

- Calculate projected LLC profit and size potential QBI deduction.
- Determine a retirement contribution.
- List remaining equipment needs.

Final Week Actions

- Purchase remaining furnishings and equipment.
- Prepay eligible 12 month expenses.
- Process final Augusta meetings.
- Confirm documentation is complete.

Year End Documentation

- Complete furnishing inventory with photos.
- Compile mileage logs.
- Organize Augusta meeting records.
- Prepare expense summaries for the CPA.

Compliance and Risk Management

Required Registrations

- State and local STR permits and occupancy tax accounts.
- Business personal property tax if applicable.
- Insurance policies for general liability and STR coverage.

Audit Ready Documentation

- Separate business bank statements and detailed receipt management.
- Meeting minutes and agendas.
- Mileage logs with business purpose.
- FMV comparables for Augusta.
- Photos of furnished units.

Ongoing Compliance

- Quarterly tax projections and monthly bookkeeping reconciliation.
- Annual registration renewals and insurance policy reviews.

Professional Team

Essential Partners

- CPA for tax planning and compliance.
- Bookkeeper for monthly financial management.
- Insurance agent for liability and property coverage.
- Banking relationship for business credit and accounts.

When to Engage

- CPA before entity formation and quarterly.
- Bookkeeper from Month 2 onward.
- Insurance before first unit lease.
- Banking in Week 1 of launch.

Summary

This plan combines tax optimization, business credit development, and Airbnb arbitrage with a focused investment approach to create strong Year One value while building long term wealth.

🎯 **Your path to $30,000+ in Year One**

- Execute the 30 day launch checklist.
- Implement all tax strategies with proper documentation.
- Launch Unit 1 with strong operational systems.
- Scale based on performance.
- Maintain meticulous records for audit readiness.
- Deploy surplus capital into the 80% BTC / 10–15% growth / 5–10% income allocation.

The difference between $16,000 and $34,000 comes down to execution, documentation, and timing of decisions. This strategy is customized. Schedule regular check ins with your advisory team to keep implementation on track.

Prepared for Jason Erbe — October 2025